



Will firms be more cautious on capex and hiring plans following the higher tariff?

They are unlikely to alter the investment sentiment in India. The domestic economy remains the primary engine of growth, supported by high household savings, rising consumption and improving ease of doing business. Robust foreign direct investment inflows, driven by confidence in India's market size, policy stability and reform momentum, continue to support long-term investment plans.

However, businesses that are heavily export-oriented or directly exposed to the US market may revisit their short-term plans. Firms could adopt a wait-and-watch mode in certain areas while continuing to invest in capacity, diversification and technology.

With a stable policy framework, strong infrastructure push and supply chain resilience, India remains an attractive destination for foreign investors. While some sectors may face short-term adjustments, the domestic demand strength and consistent FDI attractiveness should help businesses adapt and maintain their growth trajectory.



With the RBI rate cuts, good rains and income tax rejig, do you expect stronger private consumption demand?

Yes, there's a good chance that private consumption will improve this year. With the RBI reducing interest rates, borrowing becomes more affordable. This usually encourages

people to take loans for things like homes, vehicles or big-ticket items. The timely and healthy monsoon should boost rural incomes, which plays a big role in driving demand. The income tax adjustments are likely to put more money in the hands of middle-income families, which could boost everyday spending. We expect positive movement especially in consumer goods, auto and housing. However, the real strength of this recovery will depend on how job creation and inflation are managed in the months ahead.



Do you expect the RBI rate cuts to finally nudge the private sector to invest?

Lower interest rates make it cheaper for companies to borrow money, which is a good thing. But on its own, this is not enough to make businesses start investing in a big way. Most companies want to be sure that there is steady demand for their products or services before they spend on large projects. That said, the government's efforts to boost infrastructure and manufacturing, along with helpful schemes, have created a positive environment. If people keep spending and the policies stay stable, we are likely to see more private companies especially in manufacturing, green energy and digital sectors starting to invest. Still, it may take some more time before we see a strong and widespread investment push from the private sector. **BT**

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deals will impact their businesses in a positive way. Only 2% said they would have a negative impact.

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For the government, tepid private capital investment remains the big concern. The investment has not risen despite rate cuts of 100 basis points over the last six months, although the RBI chose to hold the rates in the recent policy. As many as 57% of those surveyed said that they were not planning any capital investments this fiscal.

For the Centre, this has meant close monitoring of capital expenditure by ministries to ensure they remain the engine of growth. In the first quarter of the fiscal, the Centre has spent ₹2.75 lakh crore as capital expenditure, amounting to 24.5% of the ₹11.21 lakh crore budgeted for FY26.

With the capex absorption capacity of traditional infrastructure ministries like roads and railways now appearing to reach the peak, the government is scouting for new areas such as urban infrastructure and ports for spending. States are also being prodded to boost capital spends. With robust revenue receipts of ₹9.13 lakh crore between April and June, 26.7% of the full fiscal target, analysts believe the Centre can further step up capital spending.

But the question remains, when will India Inc push the pedal on capital expenditure? Experts say this could be some time away given that demand is not yet at its peak and US tariffs are causing more uncertainty.

Nayar of ICRA says businesses focussed on exports or in sectors where imports may become more competitive could further delay capex notwithstanding the rate cuts from the Monetary Policy Committee of the RBI.

Pant expects private sector capex to be limited to pockets for some time. Maintenance capex will continue, though, apart from heavy spending in sectors such as infrastructure and re-